



Introduction to health service management

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Rational for
HSM course

Define common
terms

What is
Management

Importance of
Management

Administration
and management
and leadership

Theory and
Evolution of
management

Outlines

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**Why do think is this course
important for you ?**

Rationale for Health services Mgt. course



Health professionals are often in a managerial position



Health services require and deserve good Mgt.



Scarce resources need proper Mgt. for optimal use



Prioritizing health problems for intervention need good Mgt. skills



Managers influence all phases of modern organizations



Managerial effectiveness & efficiency are important in any organization(society)



* Health and
its determinants



* Health care,



* Health
services,



* Health service
organizations



* Health
systems



* Management

Key Definitions

What does health mean?



Does health mean

☐ the absence of illness or the state of being free from illness or injury ?

Definition of health

- World Health Organization (WHO) defines health as
- "a state of complete physical, mental, and social well-being and not merely the absence of disease or infirmity".
- The definition of health is based on ecological foundations

Health is a state of equilibrium between humans and the physical, biologic, and social environment, compatible with full functional activity.



Why is the definition of health important? Or



Why is there so much concern for definition?



The definition of health important because how one views health will affect the type of intervention and planning.

The definition shows A shift away from narrow or functionally based definition to a more holistic view of health

The narrow or functionally based definition - emphasizes more on curative health services to tackle health problems.

The wider and holistic definition - focuses on preventing diseases not just curing them.



If a society defines health negatively, might intervene only in life threatening situations



Conversely, if health is defined in positive terms, a society will pursue a variety of significant interventions to enhance the health of its members



How health sector staff define health, Health services ??

Key Definitions

cont

- 
- ❖ What makes some people healthy and others unhealthy?
 - ❖ Are poor people less likely to be healthy than rich people?
 - ❖ why people in urban area have high health service utilization
 - ❖ All people prefer good health to illness, but why do people have unhealthy life style?

Health Determinants

- Many health problems are caused by **broader social forces** that are commonly called determinants

Health determinants are

- ❖ Factors that significantly influence or have an impact on the health of individuals and communities
- ❖ The causes of the broader forces in society that ultimately determine health.

Determinants of Health

There are four general determinants of health

- human biology
- environment
- life style and
- health care services

Human Biology

The element includes

- the genetic inheritance of the individual,
- the processes of maturation and aging, and
- the internal systems in the body, such as skeletal, nervous, endocrine, digestive , etc.

- ❖ Human biology contributes to ill health and mortality, such as
- ❑ chronic diseases
 - ❑ genetic disorders
 - ❑ congenital malformation

Environment

- Factors related to health which are external to the human body and over which the individual has little or no control.
- Safe and uncontaminated foods, drugs, cosmetics, water supply
- health hazards of air, water and noise pollution
- Spread of communicable diseases
- Effective garbage and sewage disposal etc.

Lifestyle

- The life style concept addresses decisions by individuals on matters that affect their health and over which they more or less have control.
- Thus, health is maintained and improved not only through the **advancement and application of health science**, but also through the efforts and intelligent lifestyle choices of the individual and society.

Health care

- is the prevention, treatment, and management of illness and the preservation of mental and physical well being through the services offered by the medical, nursing, and allied health professions.
- According to the WHO **health care** embraces all the **goods** and **services** designed to promote health, including
 - ❖ preventive, curative and palliative interventions, whether directed to individuals or to populations.

Key Definitions cont

Health services are **specific activities** undertaken to maintain or improve health or to prevent decrement of health. These services can be **preventive** (e.g. BP screening), **acute** (e.g. surgical procedures), **chronic** (e.g. control of DM), **restorative** (e.g. rehabilitation of stroke patients), or **palliative** (e.g. pain relieve) in nature (Longest, 2000).

Key Definitions cont

Health Service Organizations (HSOs)

Health services are delivered through a variety of organizational arrangements.

HSOs are entities/units that provide the organizational structure within w/c the delivery of health services are made directly to customers, whether the purpose of the service is preventive, acute, chronic, restorative, or palliative (Longest, 2000).

Historically, many HSOs have joined to form systems. **20**

Key Definitions cont

Health Systems (HSs)

Are formally linked HSOs, possibly including financing arrangements joined together to provide more coordinated and comprehensive health services (Longest, 2000).



ORGANIZATION

What is an organization ???

Organization/ s

- A pattern of relationship through which people pursue to achieve common goals.
- Groups of people, with ideas and resources, working toward common goals.
- ❖ Goals can be for profit or nonprofit - churches or public schools.
- Whatever their goals are all organizations
- ❖ made up of people, and certain individuals are in charge of these people.

(1)
coordination
of effort

(2) common
goal or
purpose

(3) division
of labor, and

(4) hierarchy
of authority.

CHARACTERISTICS OF Organization

Classification of organizations by intended purpose.



1. Business
- to make profit in a socially acceptable manner

2. Nonprofit service - benefit for clients



3. Mutual-benefit - associations, parties, etc.

4. Commonweal - Nonprofit organizations. Serve all members of a given population.



Formal and informal organizations

- Informal organizations put more emphasis on people and relationships.
- Formal organizations emphasize position within the structure.

Organizing

- After plan is in place managers need to organize the necessary resources to accomplish their goals.

Organizing

- ❖ is the process of establishing the orderly use of resources by assigning and coordinating tasks.
- The organizing process transforms plans into reality through the purposeful deployment of people and resources within a decision-making framework

1. Mechanistic

- Bureaucratic structure
- Based on a formal framework of authority that is carefully outlined and precisely followed, when the external environment is fairly **stable**

2. Organic

- Dynamic environments
- Managers need to react quickly to change
- Cooperation and knowledge-based authority
- Less formal
- More flexible

Two basic forms of organizational structure

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Factors Affecting Organizational Design

- Size
- Life cycle
- Strategy
- Environment
- Technology

- **Size**
 - Small organizations are very often organic systems
 - Larger organizations are often mechanistic
- **Life cycle - Stages**
 - Birth
 - Youth
 - Midlife
 - Maturity
- **Strategy**
 - Organizations that want to be the first on the market with the newest and best product probably are organic, because organic structures permit organizations to respond quickly to changes.
 - Organizations that elect to produce the same products more efficiently and effectively will probably be mechanistic

- **Environment**

- The world in which the organization operates, influence the organization such as
 - Economic, Social-cultural ,Legal-political , Technological, Natural conditions
 - are often described as either
 - Stable
 - Dynamic

- **Technology**

- The most frequent cause of change in organizations
- Tools, equipment, techniques, and human know-how

• **Organization**

- ❖ Two or more people who work together in a structured way to achieve a **specific goal or set of goals**.

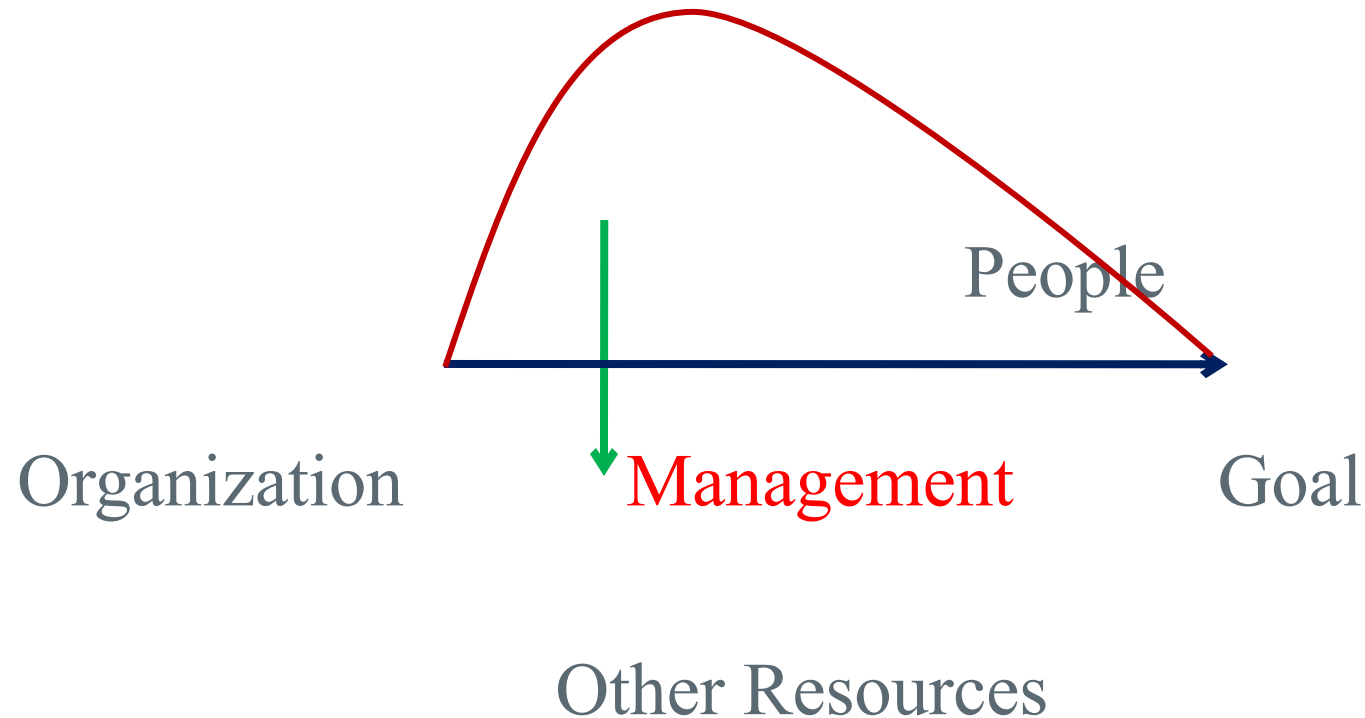
□ **Goal**

- ❖ The purpose that organization strives to achieve.
- The fundamental element of an organization. **Why?**

To achieve goals all organizations should

- ❖ *Have a **method** and have to acquire and **allocate** resources.*
Thus the need for **management**.

Definition . . .



N.B . All these do not guarantee health in the absence of health management

- Management is the process of **planning, organizing, directing and controlling** the work of organized members and using all available organization resources to reach stated organizational goals.
- **Implications of the definitions**
 - ❖ Management is a continuous process
 - ❖ Different and inter related activities are performed by managers
 - ❖ Aim of managing to be effective and efficient

Definitions of management

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Health service Mgt. is:

“The application of management to health care service”

- **Is Management as a Science, an Art or a Profession?**

Management as a Science, an Art and a Profession

- Mgt. as the body of knowledge and discipline is a *science*.
 - Its application to the solution of organizational problems is an *art*.
 - Since scientific Mgt. requires advanced education and training, it is a *profession*.
- ❖ Therefore, Management is a *science* and an *art* as well as a *profession*

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Are managers born ???

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Levels of Managers

1 Top/higher Managers

- Responsible for the overall management of the organization
- Establish, operating policies and procedures e.g. CEO

2 Middle Managers

- Managers in the mid range of the organizational hierarchy
- They are responsible for other managers .

3 First Line (Lower level) Managers:

- Are responsible for the work of operating staff
- Do not supervise other managers e.g. Ward head nurses

Exercise

Identify the following individuals according to their position in the management hierarchy illustrated

1. Abeba runs a pharmacy. She employs an assistant, a security guard and a parttime cleaner.

2. Yodit is a senior nurse who manages the nursing resources at the emergency room of a large hospital. She is responsible for all the nursing staff in the unit,

however she only liaises directly with some of them, who in turn have their own

areas of responsibility. Yodit reports to the senior manager in overall charge of the emergency room.

Managerial Skills

1. **Conceptual Skill** = The ability to visualize the organization as a whole or as one unit
2. **Human R/n Skill** = The ability to work with others
3. **Technical Skills** = The ability to use procedures, techniques and knowledge of a specialized field

Table- Types, Levels, Skills & scopes of managers

Level	Type	Authority & Responsibility
High	Senior Manager	Large
Middle	Middle Manager	Medium
Low	First Line Manager	Small

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Managerial
skills

Authority &
Responsibility

Conceptual

TOP

Large

Human R/n

Middle

Medium

Technical

Lower

Small

What happens to the managerial skills when we go down ⁴³
from Top to Lower managerial level ?

Exercise

1. What happens to the skills when we go down the hierarchy ?

Conceptual skills

Human relation “

Technical “

2. Which skill is needed by all managers?

A manager with Human skill

- Knows weaknesses and strengths,
- Knows how feelings hurt others.
- Chooses either people have to be controlled Vs self discipline
- Do not make wrong judgments about people without studying contents of information.

Mgt. at all levels has four main elements

1. It occurs in a **formal organizational setting** w/c exist in the context of the larger external environment
2. **It is a process** - a set of interactive, interrelated, on-going functions and activities
3. It involves accomplishing **organizational objectives**
4. It involves the use of **people** and **other resources**

Importance of Management

- Management is essential for all kinds of organizations for the :-
 - . Making of decisions
 - . Coordination of activities
 - . Handling of people and
 - . Evaluation of performance

Features of Management

Mgt. is needed whenever people work together and it is:-

1. Purposeful = goal-oriented, bench mark for managerial F^{ns}
2. Coordinating force = terms of time, place , service
3. Social process = deals about humans , ideas & things
4. Universal = found/applied everywhere
5. Dynamic = changes from time to time & in approach

Features ofcont

- 6. Intangible = unseen force to a seen out put
- 7. An activity = that requires knowledge and skill
- 8. A creative force = Matches jobs to goal, connects work to

resource

- 9. A composite = contains interdependently performed functions
- 10. Concerned with group effort = A single individual does not
bring result in an organization

Managers

Managers of HSOs/ HS are people **formally appointed** or **informally assigned or nominated** to positions of authority in the organizations or systems who:

- Enable others to do their direct or support work effectively,
- Have responsibility for resources utilization and
- Are accountable for work results **OR**

A manager is a person who is responsible for **directing the efforts aimed at helping organizations achieve their goals.**

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Types of managers

1. General managers e.g. President & vice president
2. Functional managers e.g. HR, Financial & Academic managers

In General Managers :

- Work with and through other people
- Bear the final responsibility for results
- Balance competing goals and set priorities
- Think analytically and conceptually.
- Make difficult decisions and assume risk

- **Administration:**

Is essentially over all determination of policies and major objectives

- **Management**

Essentially an executive function, the active direction of human effort

Management and Administration

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Administration

- Determinative
- Laying of the general purpose of the organization
- Framing of its major objectives
- Formulation of its general plan of procedure
- Approval of major projects that fall within general program

Management

- Executive
(science, art, profession)
- Involved in
planning, organizing, directing, controlling or broadly
planning, implementing and evaluating

Administration Vs Management

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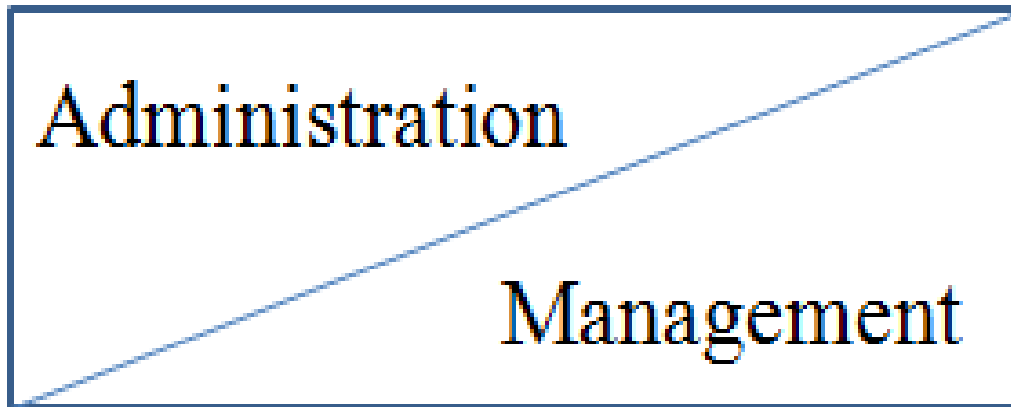
Administration Vs Management

Administration

- Broader
- Is a policy making function
- Determines the specific goals

Management

- Narrower
- Is a policy execution function
- Is executive



Top Mgt.

Lower Mgt.

Leadership

- is the art of persuading/influencing people to work toward a common goal, but is not domination,

Manager

- Focuses on system & structure
- Relies on control
- Asks how & when
- Maintains a system
- His eyes-on the bottom line
- Accepts the status quo

Leader

- Focuses on people
- Inspires trust
- Asks what & why
- Develops a system
- His eyes-on the horizon
- Challenges it

Leader Vs Manager

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Management Task

- Process of accomplishing predetermined objectives through people and technical resources

Leadership Task

- Process of influencing people to achieve organizational or group objectives



Historical development of Management

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Introduction

- Theory is a coherent group of assumptions developed to explain the R/n S/p B/n two or more **observable facts**.
- Management is as old as civilization and various theories have been postulated and Books on this issues
- All man made things are at their current positions B/c of Mgt.

Theories are important for

- Stable focus
- Determining what is relevant
- Communicating efficiently
- Making learning possible
- Retaining a shadow of the ancient customs

What will happen if we do not have theories?

- Frustration and Redundancies in defining basic assumptions

Management theories

The early management theories are:

1. Scientific management school
2. Classical organizational school
3. The behavioral school
4. Quantitative or Management Science school

Contemporary / Modern theories

The systems Approach

The Contingency Approach

The Dynamic engagement / situational Approach

- The Chinese
- The Babylonians
- The Egyptians
- The Greek
- The Romans and
- Hindu Philosophers wrote extremely interesting books and propounded theories which are followed even today
- Industrial revolution management became important

Prescientific management Era

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• Thank you